

Comparative Analysis of Companies in the Same Field

STATISTICAL COMPARISONS of groups of concerns operating in a given industry are a more or less routine part of the analyst's work. Such tabulations permit each company's showing to be studied against a background of the industry as a whole. They frequently bring to light instances of undervaluation or overvaluation or lead to the conclusion that the securities of one enterprise should be replaced by those of another in the same field.

In this chapter we shall suggest standard forms for such comparative analyses, and we shall also discuss the significance of the various items included therein. Needless to say, these forms are called "standard" only in the sense that they can be used generally to good advantage; no claim of perfection is made for them, and the student is free to make any changes that he thinks will serve his particular purpose.

FORM I. RAILROAD COMPARISON

- A. Capitalization:
 - 1. Fixed charges.*
 - 2. Effective debt (fixed charges* multiplied by 22).
 - 3. Preferred stock at market (number of shares x market price).
 - 4. Common stock at market (number of shares x market price).
 - 5. Total capitalization.
 - 6. Ratio of effective debt to total capitalization.
 - 7. Ratio of preferred stock to total capitalization.
 - 8. Ratio of common stock to total capitalization.
- B. Income Account:
 - 9. Gross revenues.
 - 10. Ratio of maintenance to gross.